



September 18, 2025

Office of Governor Gavin Newsom
1021 O Street, Suite 9000
Sacramento, CA 95814

RE: Ad Trade Letter in Opposition to California AB 566

Dear Governor Newsom:

On behalf of the advertising industry, we respectfully ask that you **VETO** AB 566.¹ Last year, you vetoed a similar proposal under AB 3048.² We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies and responsible industry practices. California consumers already have access to opt-out preference signals in the marketplace, making AB 566 unnecessary. AB 566 is also costly, ambiguous, risks harming competition, and delegates broad regulatory authority to the California Privacy Protection Agency (“CPPA”) without incorporating key, foundational safeguards for opt-out preference signals mandated by the California Consumer Privacy Act (“CCPA”). We therefore ask you to **VETO** AB 566.

- **AB 566 is unnecessary and costly.** California consumers already have widespread access to opt-out preference signals via browsers, extensions, and other readily available technologies that they can enable at their discretion. AB 566 is therefore unnecessary, as it seeks to mandate functionality that is already accessible to any Californian who wishes to exercise this choice. Rather than enhancing consumer privacy, the bill imposes a broad mandate without delivering meaningful consumer benefits.
- **AB 566 would harm the California economy and reduce jobs.** AB 566 does not incorporate or reference key CCPA requirements, including that opt-out preference signals must not be set by default, must be activated through a clear and deliberate consumer action, and cannot be implemented in a way that advantages or disadvantages specific businesses or business models.³ Without these safeguards addressed, AB 566 risks harm to the economy of California, and the vibrant digital offerings subsidized by digital advertising. According to a recent study, AB 566 would reduce targeted advertising and have substantial economic repercussions in California, potentially resulting in reductions of more than 73,000 jobs, \$6.4 billion in labor income, \$550 million in state taxes, and \$270 million in local taxes.⁴

¹ California AB 566 (2025–2026 Reg. Sess.), located [here](#) (hereinafter, “AB 566”).

² Governor Gavin Newsom’s veto letter on AB 3048, located [here](#).

³ Cal. Civ. Code § 1798.145(a)(18)(a).

⁴ CAPITAL MATRIX CONSULTING, *Economic and Fiscal Impacts of AB 566: Global Opt-Out for Internet Users*, 1 (2025) located [here](#).

- **AB 566 tasks the CPPA with issuing regulations for standards that should be set by the legislature.** AB 566 grants the CPPA overly broad regulatory authority and the bill lacks clear guidance or limits on the CPPA's discretion. The agency does not need to pursue additional rulemaking, as the legislature has not left any significant matters unresolved. Without clear guiderails or direction, this grant to the agency could be exercised to legislate areas beyond the bill's scope like expanding the scope of the bill to mobile environments, raising the very same concerns regarding mobile operating system requirements that led to your veto last year.
- **AB 566 contradicts clear legislative text in the CCPA, approved by California consumers via ballot initiative, making opt-out preference signals optional rather than mandatory.** AB 566 would essentially enshrine into law the CPPA's flawed interpretation of clear legislative text in the CCPA. The CCPA itself clearly states that opt-out preference signals are *optional* for businesses to observe.⁵ Under the law, businesses may either provide a footer link to enable consumers to opt out of sales and sharing *or* allow consumers to opt out via an opt-out preference signal. Through regulations, the CPPA mandated that businesses honor opt-out preference signals regardless of whether they provide an opt-out means via a footer link, thereby removing the choice made available to businesses in the CCPA's text. Through its support of AB 566, the CPPA seeks to solidify its interpretation of the CCPA by mandating that opt-out preference signals must be made available in all browsers despite the fact that the CCPA itself clearly states that opt-out preference signals are merely one way businesses may honor consumer opt-out rights. The people of California should not be forced to cede their explicit intentions, as set forth in the ballot initiative that voters approved to enact the current version of CCPA, to a state agency in this manner.

We strongly urge you to **VETO AB 566.**

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⁵ According to the CCPA, businesses “**may elect**” to either (a) “[p]rovide a clear and conspicuous link on the business’s internet homepages, titled ‘Do Not Sell or Share My Personal Information’” **or** (b) allow consumers to “opt out of the sale or sharing of their personal information... through an opt-out preference signal sent with the consumer’s consent by a platform, technology, or mechanism....” Cal. Civ. Code §§ 1798.135(a), (b), (b)(3). The CCPA therefore gives businesses the choice to either allow consumers to opt out through a do-not-sell link on their homepage(s) or through opt-out preference signals.



Thank you in advance for your consideration of this request.

Sincerely,

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